Many provisions in the Occupational Safety Code relate to wages and social security. They have been carried from earlier laws dealing with specific occupations. There are wages and social security provisions for contract workers, interstate migrant workers and a few others. These issues should be dealt with in the Code on Wages and Code on Social Security.

Workplaces have been transformed in the twenty-first century. The Code does not address this reality, most prominently in modern workplaces like malls, warehouses, logistic centres, airports, IT and data centres.

Wage Code Perpetuates the Status Quo

The Wage Code displays the least dynamism of the consolidation exercise. While seeking to merge four laws into one, it continues with all pre-existing deformities.

The preamble merely notes that it is an act to ‘amend and consolidate the laws relating to wages and bonus and matters connected therewith or incidental thereto’.

The Code recognizes only one form of wages: wages to be paid to employees who work on a salaried basis. It does not provide for all the newer forms of labour provision, like the gig economy, contractor-employee relationship, and so on. And as it doesn’t concern itself with establishments that employ less than ten workers, it leaves out 99 per cent of the businesses in India.

The Code also continues with a fragmented approach to deal with wages. It does not recognize the ‘cost-to-company’ approach or the total package cost. Instead, it continues with elaborate enumeration of numerous components of wages and how establishments are supposed to deal with the same.

The Wage Code stipulates that the appropriate government ‘shall’ fix the minimum rate of wages payable to employees. It also obligates the appropriate government to fix the minimum rate of wages for ‘time work’